

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SEALINK INTERNATIONAL, INC.,
AND
SEALINK INTERNATIONAL, LTD., *Claimants*

v.

SOUTHERN INTERNATIONAL CO., LTD., *Respondent*.

DOCKET NO. 2029(I)

Served: April 22, 2026

BEFORE: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant, Sealink International, Inc. (Sealink U.S.), initiated this proceeding by filing an informal complaint (Claim) at the Federal Maritime Commission (“FMC” or “Commission”) against Respondent Southern International Co., Ltd., (Southern or Respondent). Sealink U.S. subsequently filed an Amended Complaint to add its Vietnamese subsidiary, Sealink International, Ltd. (Sealink Vietnam). In short, Sealink U.S. and Sealink Vietnam allege that Southern violated 46 U.S.C. § 41102(c) of the Shipping Act by failing to establish, observe, and enforce just and reasonable business practices and 46 C.F.R. § 515.41 of Commission’s Regulations by failing to act with reasonable care.

Sealink U.S. and Sealink Vietnam argue that Southern held itself out as a non-vessel-operating common carrier (NVOCC) and entered into a contract with Sealink Vietnam to transport four containers from Vietnam to the United States. Sealink Vietnam paid Southern for container freight but Southern did not produce the bills of lading due to a failed business deal with another entity. Sealink U.S. was forced to pay freight a second time directly to different NVOCC companies that shipped the goods in order to release the cargo.

Following amendment of the claim to add Sealink Vietnam, Southern raised both procedural and substantive challenges. Southern asserts that it satisfied its contractual obligations to Sealink Vietnam and bears no financial responsibility for the failures occurring in the downstream transactional chain. Respondent premises this argument on the assertion that it transmitted Sealink Vietnam’s booking and freight payments to a third-party entity, which

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

ultimately failed to remit payment to the NVOCCs responsible for transporting the cargo. According to Southern, these intervening third-party transactions were not foreseeable and function to break the chain of proximate causation.

As explained in greater detail below, Sealink U.S. and Sealink Vietnam failed to establish that Southern is an FMC regulated entity. Therefore, the FMC does not have jurisdiction and the Claim is **DENIED** and **DISMISSED**.

A. Background and Procedural History

Claimant Sealink U.S. filed an informal complaint (Claim) and exhibits with the Office of the Secretary on April 2, 2025. *See* Claim. On April 7, 2025, the Secretary of the Commission served a Notice of Filing of Small Claims Complaint and Assignment (NOF), notifying Respondent (Southern) of the Claim and instructing it to file a response by May 2, 2025, together with an indication as to whether it consented to the informal small claims procedures at Subpart S. *See* NOF. On the same date, the Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

On April 28, 2025, Southern filed a response to the Claim (Response) and consented to the informal small claims procedure. *See* Response. On the same date, the Chief Administrative Law Judge appointed Theresa Dike as Small Claims Officer (SCO) for the proceeding. *See* Notice of Assignment.

On May 13, 2025, Sealink U.S. filed a Reply to Respondent's Response (Reply) stating the reply was filed pursuant to 46 C.F.R. § 515.313. *See* Reply. That provision, which provides a claimant with an opportunity to reply, applies to formal procedures for small claims at Subpart T and has no counterpart in the informal small claims procedures at Subpart S. Nevertheless, much of the information contained in Sealink U.S.'s Reply addresses questions in SCO Dike's subsequent request for information. Accordingly, the responses in the Reply will be incorporated into the record as supplemental information.

On July 14, 2025, pursuant to authority in 46 C.F.R. § 502.304(a) and (e) of the Commission's Rules of Practice and Procedure, SCO Dike issued a Request for Additional Documents and Information (RFI). The RFI ordered the parties to submit responses to the RFI by August 11, 2025, and permitted any party wishing to reply to the opposing party's submission to do so by August 25, 2025. *See* RFI.

Southern submitted its response and four supplemental exhibits on August 10, 2025. (R. Resp. RFI). *See* R. Resp. RFI. Sealink U.S. submitted its response and supplemental documents marked by question number on August 11, 2025. (C. Resp. RFI). *See* C. Resp. RFI. Because the RFI requested that Sealink U.S. identify the specific section or sections of the Shipping Act that it alleges were violated, Southern's Formal Answer and Rebuttal (Formal Response) responding to Sealink U.S.'s specific allegations is accepted. *See* Formal Response.

On August 25, 2025, Sealink U.S. submitted a Rebuttal to Respondent's Formal Response (Rebuttal). *See* Rebuttal. Subpart S does not provide for the filing of such a submission in informal proceedings. Nonetheless, as with Sealink U.S.'s prior Reply, the Rebuttal addressed issues identified in SCO Dike's RFI, specifically seeking clarification of the nature of the

parties' relationship and the manner in which the underlying transactions occurred. Accordingly, the information provided will be considered as supplemental information.

On February 5, 2026, the case was reassigned to the undersigned SCO. *See* Notice of Reassignment.

After review of the pleadings, an Order Allowing Submission of an Amended Claim (Order Allowing Amendment) was issued allowing Sealink U.S. to add its Vietnamese subsidiary, Sealink International, Ltd. (Sealink Vietnam) to the Claim as a co-claimant (Claimants). *See* Order Allowing Amendment.

On March 11, 2026, Claimants filed an Amended Claim with the Office of the Secretary adding Sealink International, Ltd. as a claimant. *See* Amended Claim. The Office of the Secretary served the Amended Claim (NOF Amended) on the same date. *See* NOF Amended.

A Second Order Requesting Additional Information was issued on March 24, 2026, ordering the parties to file responses and supplemental documents and information by April 7, 2026, and replies to opposing party responses by April 21, 2026. *See* Sec. RFI.

On April 2, 2026, Southern filed both Respondent's Supplemental Answer and Response to Amended Claim (Resp. to Amended Claim) and Respondent's Response to the Second Order Requesting Additional Information (R. Resp. to Sec. RFI). Both of these filings attached the same series of exhibits marked as Exhibits A-Q. *See* Resp. to Amended Claim; R. Resp. to Sec. RFI.

On April 3, 2026, Claimants filed a response to the Second RFI and attached exhibits marked by question number. (C. Resp. to Sec. RFI).

On April 17, 2026, Southern filed a reply to Claimant's Response to the Second RFI.

B. Argument of the Parties

1. Claimants' Arguments

Claimants assert that Southern held itself out as a non-vessel-operating common carrier (NVOCC) with direct contractual relationships with ocean carriers. In reliance on these representations, Sealink Vietnam entered into a contract with Southern for the carriage of goods from Vietnam to the United States in connection with container numbers TCNU4736021, TCNU3176370, ZCU6980730 and BEAU5033067.² *See* Claim; Amended Claim.

Claimants contend that, after the containers were at sea and freight charges paid to Southern, Sealink Vietnam unsuccessfully attempted to obtain the relevant bills of lading from Southern. During this process, Southern revealed it did not have direct carrier contracts but had transferred the bookings to a third-party, Daynamez. Daynamez failed to pay the underlying

² Although the exhibits and pleadings occasionally reference other shipments Sealink Vietnam booked with Respondent through co-loaders, the Claim only requests reparations for containers TCNU4736021, TCNU3176370, ZCU6980730 and BEAU5033067.

NVOCCs. As a result, Sealink U.S. was forced to negotiate directly with these NVOCCs and remit payment of freight charges a second time to release the cargo. *Id.*

Claimants argue that Southern failed to remit payments to the ocean carrier, and that this constitutes unjust and unreasonable business practices in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 515.41. C. Resp. to RFI, at pg. 1. Based on the foregoing, Sealink U.S. seeks reparations in the amount of \$19,889.76 representing the duplicate freight charges and associated bank fees it paid to the NVOCCs. Claim, at pg. 2.

2. Respondent's Arguments

Southern admits that it entered into a contract with Sealink Vietnam for transport of the containers on a per-shipment basis. Resp. to Amended Claim, at pg. 4. However, Southern denies it held itself out as an NVOCC with direct contracts with ocean carriers. *Id.* Instead, Southern argues that its role was limited to that of origin agent in Vietnam for Daynamez, responsible for soliciting customers and collecting freight payments. R. Resp. to Sec. RFI, at pg. 1. According to Southern, these payments were forwarded to Daynamez less local charges and Southern's share of profits pursuant to its contract with Daynamez. *Id.* at pg. 3. Southern contends that Daynamez acted as its U.S. routing agent and bore sole responsibility for arranging the transportation of the cargo. *Id.* at pg. 1. Southern further contends that it did not "negotiate with or enter into any contractual agreements with downstream NVOCCs." Southern maintains that it is not a party to any of the bills of lading for the shipments at issue. *Id.* at pgs. 1-2.

Southern admits that it received freight payments for the containers at issue but argues that it fulfilled its contractual obligations to Sealink Vietnam by transferring those payments to Daynamez in accordance with the SIC/DNM-011224 Agency Agreement. Resp. to Amended Claim, at pgs. 2, 4. Southern further acknowledges that, on or around July 6, 2024, it became aware that Daynamez was not licensed with the FMC, despite prior assurances from Daynamez to the contrary. Respondent argues it relied upon Daynamez's false representations regarding licensing status and contends that it should not be penalized for the regulatory deficiencies attributable to Daynamez. *Id.* at pgs. 2-3.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

1. Claimant Sealink International, Inc. is a U.S. based provider of international logistics and transportation services. Sealink International, Inc. is the parent corporation of Sealink International, Ltd. Claim, at pg. 1; Rebuttal, at pg. 1; C. Resp. RFI, at Q4.
2. Claimant Sealink International, Ltd. is a Vietnam based incorporated subsidiary of Sealink International, Inc. *Id.*
3. Respondent Southern International Co., Ltd. is a Vietnam based provider of international logistics and transportation services. Claim, at pg. 1; Response, at pg. 2.
4. Sealink International, Inc. is licensed and bonded as an Ocean Transportation Intermediary (OTI) with the FMC. *See* C. Resp. to RFI, at Q4 Ex: License and Bond.

5. Sealink International, Ltd. is a single-member limited liability corporation registered under the laws of Vietnam to provide freight forwarding services. The legal representative of the company for registration is Shaizad Sultanali Schroff, owner of Sealink U.S. *See Id.* at Q4 Ex: Certificate of Investment Registration (Verified Translation).
6. On October 21, 2023, Zia Kamali from the Daynamez Group reached out to Southern by email introducing it as a newly established freight forwarding company in the United States seeking a reliable agent partner in Vietnam. R. Resp. to Sec. RFI, at Q1 Ex. D1 pg. 5.
7. On October 23, 2023, Southern replied to the introductory email describing its company's activities as logistics for import/export offering facilitation with customs agents, warehousing, inland transport, packing etc.; import/export advice; receiving and delivering goods for customers and foreign agents; consulting and implementing trade agreements and services as an international transport agent for shipping and airlines. *Id.* at pg. 4.
8. On October 24, 2023, Daynamez responded with an email offering terms of net/net plus markup to be determined by Southern, which would then be split 50/50 between the parties. *Id.* at pg. 1-2.
9. On December 1, 2023, Daynamez and Southern entered into Agency Agreement SIC/DNM-011224 (Agreement). The general terms of the Agreement mutually appointed each other as sales and break bulk agents. Each party would solicit bookings to increase business and profits were to be split. Profit was considered to be the difference between buying rate from airline/shipping line and the selling rate to the customer less local charges. Each party agreed to indemnify and hold the other party harmless for any loss, damage or liability incurred through acts of omissions of the other party. *See* R. Resp. to RFI, Ex. 1.
10. On September 24, 2024, Sealink Vietnam and Southern entered into an International Cargo Transportation Contract No. 2409/24-HDVC-SIC-SLI (Contract). Sealink Vietnam is identified as Party A and Southern as Party B. *See* C. Resp. to RFI, at Q3 Ex: Contract (Verified Translation).
11. The terms governing the scope of the Contract are contained in Article 1: Purpose and Scope of the Contract. Section 1.1 provides: "Party B on behalf of Party A shall perform booking and international transportation for cargo shipments designated by Party A." Section 1.3 provides that transportation services would be by sea or air. Section 1.7 details other services and provides: "Packaging, packing materials, warehousing, domestic transportation... other requirements from Party A shall be considered and responded by Party B based on actual conditions." *Id.* at pg. 1.
12. Article 2: Pricing and Payment, Section 2.1.1 provides: "Depending on Party A's actual requirements, Party B will send/update quotations to Party A for each shipment, including international transportation and other services." Section 2.1.3 "Party A shall

confirm the quotation (via email, written document, scanned copy, etc.) for each price list before Party B proceeds.” *Id.* at pg. 2.

13. The responsibilities of Party B are contained in Article 3: Responsibilities of Both Parties, Section 3.2, which provides in relevant part:

3.2.1 Provide Party A with detailed international shipping schedules.

3.2.2 Submit documentation to the carrier for Party A’s import/export shipments (if applicable, as designated by Party A).

...

3.2.4 Hand over all shipment-related documents to Party A after receiving full payment.

Id. at p. 3.

14. Article 5: Disputes and Dispute Resolution requires the parties to bring any contractual disputes to a competent court in Ho Chi Minh City to be decided under the applicable laws of Vietnam. *Id.*

Container TCNU3176370

15. On October 2, 2024, Southern sent Sealink Vietnam a Debit Note requesting payment for booking YMJAE492316511 related to container number TCNU3176370 (B/L VNSAV2410081) in the amount of 103,480,480 VND. This invoice included a breakdown of ocean freight and various fees. Claim, at pg. 14; R. Resp. to RFI, at Ex. 2.1.
16. On October 7, 2024, Sealink Vietnam remitted payment to Southern’s Vietnam bank account. Claim, at pg. 15; C. Resp. to RFI, at Q10 Ex: Payment Order VNSAV2410081.
17. On October 9, 2024, Southern remitted funds to Daynamez’s U.S. bank account for multiple invoices. Included in the remittance accounting was a freight charge in the amount of \$3,300 USD for B/L VNSAV2410081. R. Resp. to RFI, at Ex. 4.3 pg. 2.
18. Sealink Vietnam was notified that the cargo at issue was on hold pending ocean freight payment at the destination. Agents for Sealink Vietnam, Sealink U.S. and Super Cargo, the NVOCC, negotiated to have the master bill of lading changed to reflect Sealink U.S. as consignee for pick up and release of the cargo in exchange for payment of \$5,050. *See* C. Resp. to RFI, at Q10 Ex. Super Cargo.
19. Super Cargo master bill of lading VNSAV2410081 for ocean transport from Vietnam to Savannah, Georgia lists Sealink International Co., Ltd. (Sealink Vietnam) as shipper and Sealink International, Inc. (Sealink U.S.) as consignee. Claim, at pg. 11; C. Resp. to RFI, at Q8 Ex: Bill of Lading VNSAV2410081.

Container TCNU4736021

20. On October 2, 2024, Southern sent Sealink Vietnam a Debit Note requesting payment for booking YMJAE492316512 related to container number TCNU4736021 (B/L VNSAV2410082) in the amount of 103,480,480 VND. This invoice included a breakdown of ocean freight and various fees. Claim, at pg. 23; R. Resp. to RFI, at Ex. 2.2.
21. On October 7, 2024, Sealink Vietnam remitted payment to Southern's Vietnam bank account. Claim, at pg. 25; C. Resp. to RFI, at Q10 Ex: Payment Order VNSAV2410082.
22. On October 9, 2024, Southern remitted funds to Daynamez's U.S. bank account for multiple invoices. Included in the remittance accounting was a freight charge in the amount of \$3,300 USD for B/L VNSAV2410082. R. Resp. to RFI, at Ex. 4.3 pg. 3.
23. Sealink Vietnam was notified that the cargo at issue was on hold pending ocean freight payment at the destination. Agents for Sealink Vietnam, Sealink U.S. and Super Cargo, the NVOCC, negotiated to have the master bill of lading changed to reflect Sealink U.S. as consignee for pick up and release of the cargo in exchange for payment of \$5,050. *See* C. Resp. to RFI, at Q10 Ex. Super Cargo.
24. Super Cargo master bill of lading VNSAV2410082 for ocean transport from Vietnam to Savannah, Georgia lists Sealink International Co., Ltd. (Sealink Vietnam) as shipper and Sealink International, Inc. (Sealink U.S.) as consignee. Claim, at pg. 20; C. Resp. to RFI, at Q8 Ex: Bill of Lading VNSAV2410082.

Containers ZCSU6980730 & BEAU5033067

25. On October 4, 2024, Southern sent Sealink Vietnam a combined Debit Note requesting payment for two bookings, ZIMUHA180118210 and ZIMUHA180118211,³ related to container numbers ZCSU6980730 and BEAU5033067 (combined B/L KGMIA2410810) in the amount of 204,680,286 VND. This invoice included a breakdown of ocean freight and various fees. R. Resp. to RFI, at Ex. 2.3.
26. On October 9, 2024, Sealink Vietnam remitted payment to Southern's Vietnam bank account. C. Resp. to RFI, at Q10 Ex: Payment Order KGMIA2410810.
27. On October 9, 2024, Southern remitted funds to Daynamez's U.S. bank account for multiple invoices. Included in the remittance accounting were freight charges in the amount of \$6,400 USD for B/L KGMIA2410810. R. Resp. to RFI, at Ex. 4.3 pg. 3.
28. Sealink Vietnam was notified that the cargo at issue was on hold pending ocean freight payment at the destination. Agents for Sealink Vietnam, Sealink U.S. and Kargosmart, the NVOCC, negotiated to have the master bill of lading changed to reflect Sealink U.S.

³ This is the only document that references booking ZIMUHA180118211. All other documents reference ZIMUHA180118210 as the booking number for both containers.

as consignee for pick up and release of the cargo in exchange for payment of \$9,645.80. *See* C. Resp. to RFI, at Q10 Ex. Kargosmart.

29. Kargosmart master bill of lading KGMIA2410810 for ocean transport from Vietnam to Miami, Florida lists Sealink International Co., Ltd. (Sealink Vietnam) as shipper and Sealink International, Inc. (Sealink U.S.) as consignee. C. Resp. to RFI, at Q10 Ex: Bill of Lading KGMIA2410810.

III. DISCUSSION

A. Evidence and Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997); *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (FMC Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

B. Analysis

1. Alleged Violation of 46 U.S.C. § 41102(c)

Claimants contend that Southern failed to establish, observe and enforce just and reasonable business practices in violation of 46 C.F.R. § 41102(c).

The Shipping Act § 41102(c) provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with another person, directly or indirectly, may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property.” 46 C.F.R. § 41102(c).

By regulation, the Commission also identified the following elements that must be met to establish a claim under the statute:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed act or omissions of the regulated entity are occurring in the normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice proximately caused the claimed loss.

46 C.F.R. § 545.4.

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R 394, 396, 2001 FMC LEXIS 7 at *9 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406, 2019 FMC LEXIS 44 at *10 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

Therefore, the threshold inquiry prior to undertaking a full analysis of § 41102(c) is whether Southern qualifies as a regulated entity. The Shipping Act defines several categories of entities engaged in the international shipment of goods. Accordingly, to satisfy this initial element and establish jurisdiction, Claimants must demonstrate that Southern was operating in a capacity subject to the Act- specifically, an ocean common carrier, marine terminal operator, or ocean transportation intermediary.

Because Southern is a foreign company incorporated in Vietnam, the FMC’s jurisdiction to regulate its practices turns upon the nature of Respondent’s operations. In the instant proceeding, Claimants contend that Southern operated as an ocean transportation intermediary (OTI). Specifically, Claimants assert that Southern falsely represented itself to Sealink Vietnam as a non-vessel-operating common carrier (NVOCC) with direct contractual relationships with ocean carriers and did not disclose to Sealink Vietnam that the booking would be passed off to its partner who would ultimately make the booking with an NVOCC. Southern, in contrast, denies representing itself as an NVOCC and asserts that it acted as an origin sales agent in all relevant transactions.

The term “ocean transportation intermediary” (OTI) is defined as either an ocean freight forwarder or a non-vessel-operating common carrier. 46 U.S.C. § 40102(20). The Shipping Act

defines “ocean freight forwarder” as “a person that (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(19). “From the United States means oceanborne export commerce from the United States, its territories, or possessions to foreign countries.” 46 C.F.R. § 515.2(i). Distinguished from an ocean freight forwarder, the term “non-vessel-operating common carrier” means “a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). These statutory definitions are echoed in the Commission’s regulations. *See* 46 C.F.R. § 515.2(m).

The Commission has promulgated regulations that further detail the common services of an ocean freight forwarder and NVOCC. *See* 46 C.F.R. Part 515. These regulations reflect the functional distinction between entities that act as agents on behalf of shippers and those that assume the responsibilities of a carrier.

Freight forwarding services refers to the dispatching of shipments on behalf of others, in order to facilitate shipments by a common carrier, which may include, but are not limited to, the following:

- (1) Ordering cargo to port;
- (2) Preparing and/or processing export declarations;
- (3) Booking, arranging for or confirming cargo space;
- (4) Preparing or processing delivery orders or dock receipts;
- (5) Preparing and/or processing ocean bills of lading;
- (6) Preparing or processing consular documents or arranging for their certification;
- (7) Arranging for warehouse storage;
- (8) Arranging for cargo insurance;
- (9) Clearing shipments in accordance with United States Government export regulations;
- (10) Preparing and/or sending advance notifications of shipments or other documents to banks, shippers, or consignees, as required;
- (11) Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments;
- (12) Coordinating the movement of shipments from origin to vessel; and
- (13) Giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch.

46 C.F.R. § 515.2(h).

Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but not be limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

The determination of whether Southern operated as an NVOCC or an OFF in connection with the four containers at issue does not turn on the labels parties assign themselves, but on the substance of Southern's conduct. In analyzing whether an entity acted as an ocean transportation intermediary, the Commission looks at the factual evidence and the totality of the circumstances, including their combined effect. *See Worldwide Relocations, Inc. – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, Docket No. 06-01, 2012 WL 11914713, at *5 (FMC Mar. 15, 2012); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC 1965) (“it is important to consider all the factors present in each case and to determine their combined effect” and to “look beyond documentary labels.”); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity – common carrier, marine terminal operator, or OTI – with respect to the conduct at issue.”). Claims against non-regulated entities are appropriately dismissed. *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Docket. No.

24-09, 2025 WL 1675704, at *4 (ALJ Jun. 2, 2025) (Notice Not to Review, July 3, 2025); *Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. App’x. 347, 347-48 (9th Cir., 2015) (“For the Commission to have jurisdiction over an entity, the entity must be acting as a regulated entity in relation to the conduct at issue.”).

Here, there is no dispute that Southern is a company incorporated and licensed in Vietnam or that transport of the shipments at issue originated in Vietnam. Therefore, by definition, Southern is not an OFF as defined by the applicable statute and regulation. 46 U.S.C. § 40102(19); 46 C.F.R. § 515.2(i). There is no allegation or evidence that Southern is a marine terminal operator. As such, in order for the FMC to have jurisdiction, Southern must have held out or operated as an NVOCC.

By definition, an NVOCC is a particular type of common carrier. The Commission has long relied on three factors to determine common carrier status: 1) holding itself out to the general public; 2) assuming responsibility for the transport from port or point of receipt to the port or point of destination; and 3) uses a vessel operating on the high seas between a port in the United States and a foreign country. 46 U.S.C. § 40102(7). No single factor of an entity’s operation is determinative of its status as a common carrier. Rather, the Commission must evaluate the indicia of common carriage on a case-by-case basis. *Logfret, Inc. v. Kirsha, B.V.*, Docket No. 18-10, 2019 WL 4689188 at *12 (FMC Sept. 17, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (FMC 1999); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC 1965)).

In *Worldwide Relocations*, the Commission addressed the statutory elements of the definition of “common carrier” noting that the final element is usually straightforward and not often an issue. *Worldwide Relocations, Inc. – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, Docket No. 06-01, 2012 WL 11914713, at *58 (FMC Mar. 15, 2012). As for “holding out” the Commission noted that relevant considerations include the manner in which the entity held itself out to customers through advertisement or solicitation, the terms of its contractual agreements, the content of other documentation, whether it published a tariff, and whether it assumed the responsibilities of a common carrier with respect to the cargo. *Id.* at *6. In considering whether the entity “assumed responsibility,” the Commission looked to, among other things, the description of NVOCC services in 46 C.F.R. § 515.2(k). The Commission has also ruled that issuing a bill of lading may demonstrate a course of conduct sufficient to establish assumption of responsibility. *Logfret, Inc. v. Kirsha, B.V.*, Docket No. 18-10, 2019 WL 4689188, at *14 (FMC Sept. 17, 2019).

Claimants maintain that Southern solicited their business and represented to Sealink Vietnam that it was an NVOCC with direct contractual relationships with ocean carriers. *See* Claim pg. 1; Rebuttal pg. 2. As such, the Second RFI specifically directed Claimants to produce evidence substantiating the contention that Southern offered to perform services in the capacity of an NVOCC as opposed to a freight forwarder. In response, Claimants relied solely on the previously submitted Contract executed between Sealink Vietnam and Southern. *See* C. Resp. to Sec. RFI. Claimants submitted no evidence of advertisements, solicitations, emails or other correspondence to support their assertion that Southern held itself out to Sealink Vietnam or the general public as an NVOCC.

Turning to Claimants' sole evidence, the International Cargo Transportation Contract No. 2409/24-HDVC-SIC-SLI (Contract), Article 1 provides that Southern agrees to provide international transportation services to Sealink Vietnam. However, the terms that follow clarify that Southern, on behalf of Sealink Vietnam, agreed to arrange booking and international transportation services by air and sea in addition to other services such as packing, packaging, warehousing, inland transportation and any other related services reasonably requested by Sealink Vietnam. PF 11.

Southern's agreement to act 'on behalf of' Sealink Vietnam to book and arrange transportation is consistent with the functions set forth in the statutory definition of an ocean freight forwarder under 46 U.S.C. § 40102(19). Moreover, the range of varied services Respondent agreed to perform are indicia of freight forwarding activities rather than those of an NVOCC. *See* 46 C.F.R. § 515.2(h).

Furthermore, Article 2 governing price and payment indicates that Southern would send Sealink Vietnam a price list with quotes for each requested service, including international transportation. Sealink Vietnam would then confirm each quotation in writing prior to Southern proceeding. PF12.

Regarding the second element, assuming responsibility, Section 3 of the Contract, provides that Southern undertook the responsibility to provide Sealink Vietnam with a detailed shipping schedule, submit documents to the carrier for shipments and hand over all related shipping documents to Sealink Vietnam after payment. PF 13. In addition, there is no evidence that Southern issued a house bill of lading for any of the relevant shipments. Finally, Super Cargo and Kargosmart issued the master bills of lading for the shipments at issue and none list Southern as shipper or include Southern in any other capacity on the document. PF 19, 24, 29. Southern merely collected freight and other fees and remitted these funds to Daynamez to complete the booking. PF 16, 17, 21, 22, 26, 27.

On balance the contract provisions are consistent with Southern acting as an intermediary forwarder that arranges transportation services on behalf of the shipper, with pricing contingent upon shipper approval. The absence of assumption of financial responsibility weighs against a finding that Southern operated as an NVOCC and instead supports characterization of Southern's role as that of an ocean freight forwarder.

Southern's status as a freight forwarder is also supported in its communications with Daynamez leading up to the partnership agreement with this third-party entity. Southern introduced itself to Daynamez as a logistics provider for import/export offering facilitation with customs agents, warehousing, inland transport, packing, advice and consulting and agent for international shipping and airlines. PF 8. These activities bear the hallmarks of a freight forwarder.

Southern is a foreign freight forwarder in Vietnam and is not a regulated entity subject to the jurisdiction of the FMC. Because there is no jurisdiction, there is no need to proceed with discussion of the remaining elements of a claim under 46 U.S.C. § 41102(c).

2. Alleged Violation of 46 C.F.R. § 515.41

Claimants assert without elaboration that Southern violated 46 C.F.R. § 515.41 because it failed to act with reasonable care. This assertion is unpersuasive. Section § 515.41 governs fee sharing arrangements and prohibits improper payments or compensation arrangements that are not tied to legitimate forwarding services. It does not impose a general duty of reasonable care. Accordingly, Claimants' reliance on this provision is misplaced. Moreover, § 515.41 appears within Subpart E, which only applies to licensed freight forwarders operating under the Commission's regulatory framework. 46 C.F.R. § 515.21(a) requires that a person in the United States advertising, holding oneself out, or acting as an ocean freight forwarder must furnish evidence of financial responsibility in the amount of \$75,000. Under the terms of the regulation, this requirement is limited to entities operating in the United States.

The record indicates that Southern is a Vietnam based company. Claimants have not established that Southern advertised, held itself out, or acted as an ocean freight forwarder in the United States. As such, Southern is not subject to the Commission's regulatory requirements for freight forwarders.

The undersigned acknowledges that Claimants have sustained financial harm that may give rise to a valid contractual or other common law claim. However, the Commission's jurisdiction is limited to matters arising under the Shipping Act and jurisdiction does not extend to common law claims. *Cargo One, Inc. v. COSCO Container Lines Co, Ltd.*, Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (noting that claims alleging breach of contract violations are not properly before the Commission).

IV. ORDER

For the reasons discussed above, it is

HEREBY ORDERED that Claimants' claim and request for reparations against Respondent be **DENIED**. It is

FURTHER ORDERED that Claimants' claims against Respondent be **DISMISSED**.

Debra L.
Tesh -S

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Date: 2026.04.22
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Debra L. Tesh
Small Claims Officer